

From the US Market Desk: House Call

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Macro

Our real gross domestic product (GDP) forecast for 2026 is 2.5% (based on our Global Investment Management Survey) versus the Federal Reserve's (Fed's) forecast of 2.2% and the Wall Street consensus of around 2%. The economy remains resilient and the consumer is strong. I'm not a big fan of the Atlanta Fed GDPNow ("nowcasting" model) but note its forecast for the third quarter is 5.0% (as of September 25). The only thing that could throw us a curveball would be a significant policy shift by the Fed, meaning it signals the beginning of a prolonged rate-hike cycle. The bond market is still "From Missouri." (Missouri is the "Show Me" state.) Someone should check on "The House." Maybe make a House Call?

The September S&P US Purchasing Managers' Index data was stronger than expectations, with the composite reading at 58.4, well ahead of the 55.3 consensus forecast. The economy remains strong. We also had a weak 5-year US Treasury auction this past week. Both served to push the 10-year Treasury bond yield to the highest levels since 2007. Major sovereign bond yields around the globe are also back to 2007 highs.

The 2-year note yield is currently 4.85%, roughly 85 basis points (bps) over the fed funds rate. Remember, the bond market leads the Fed, not the other way around (as we just saw). Two-year yields continue to call for additional rate hikes. The US 10-year bond yield is currently 5.09%, and the 2-10s curve has flattened significantly to 23 bps, as of this writing.

Breakeven rates have moved higher, especially the one- and two-year measures. One-year breakeven rates are 2.54%, 2-year breakeven rates are 2.45% and 5-year breakeven rates are 2.34%. These numbers represent the bond markets' pricing of annualized inflation out one, two, and five years. Breakeven rates and the 2-year note are now seemingly sending the same message: Something needs to be done to address inflation. The bond market is telling the Fed to raise rates again.

Meanwhile, the fed funds futures market is indicating a 64% chance of a 25-bps hike at the October Fed meeting and a 76% chance of a hike in December. The futures market has the 2026 terminal fed funds rate at 4.23%-it believes another hike is coming.

On the currency front, we are expecting the US dollar to be essentially flat for the year despite the recent volatility. The US Dollar Index is trading at 101, still firmly range-bound as it has been for the past 17 months.

Equities

We are constructive on US equities and have established a year-end target range of 7400-7800 for the S&P 500, driven by 15+% year-over-year (Y/Y) earnings-per-share growth. We are in a catalyst void right now as we await third-quarter earnings. Consensus expectations for 2026 now sit at \$365.89, up 11.50% Y/Y. For 2027 the consensus earnings estimate is \$416.83, representing a 14% Y/Y growth rate versus 2026. (See our Global Investment Management Survey for more on earnings and our forecasts.)

If we assume the consensus earnings estimates are reasonably correct, that puts the tape at 21x this year's earnings and 18x 2027 estimates. The long-term historical forward multiple is about 17x. Portfolio managers are now focusing their efforts on corporate earnings power for calendar year 2027. I can't make a strong argument that the tape is "cheap" here, but I also can't make the argument that an 18x forward multiple is rich either. Bond yields are the biggest risk here. Higher yields will likely put pressure on the multiple.

We are in the "volatility window." A combination of higher oil prices, higher 10-year bond yields globally, seasonality, midterm elections and a big move on the books from the March lows to the August highs (23.74% for the S&P 500) are conspiring to create a higher volatility level in the near term. Equity implied volatility, as measured by the Cboe VIX index, remains subdued. The duck is calm on the surface (the S&P 500 is less than 2% from its all-time high), yet the

duck's feet are paddling like crazy. Violent rotations.

What does history tell us about the stock market when the Fed raises rates? Our Strategist Taylor Topousis has done some research on this. Here are the key takeaways: From 1994, when the Fed began to announce policy decisions, median S&P 500 returns three months from the initial hike were -3.7%. Every hiking cycle since 1994 has had a drawdown of at least 7%. This fits with our call for volatility. A year later median returns for the S&P 500 were +6.5%. The Russell 1000 Growth and Russell 1000 Value Indexes were tied at 4.5% each and the Russell 2000 Index leads all players at +12.7%. The MSCI EAFE was positive out one year at +5.2%. The MSCI EM Index was also positive out one year at 1.8%.

Additionally, please see our latest white paper on what to expect from equities in the intermediate term. Market Strategist Lukasz Kalwak and I provide a look at seasonal volatility, midterm election years, liquidity, fundamentals and what we historically see in the third year of a presidential cycle. Don't miss this piece: "Broadening Delivered. Now Prepare for Volatility."

Bottom line: We think it's prudent to have a diversified equity playbook that includes US large-, mid- and small-cap exposure with a balance of growth and value. The same can be said for ex-US equity exposure; emerging markets and Japanese stocks look attractive. That involves reducing concentration and spreading one's bets. We think buying on pullbacks makes sense. Volatility is your friend.

Fixed Income

We expect the 10-year US Treasury bond yield in the range of 4.25%-4.75% for the year. As of this writing, the last trade was 5.09%, and we are reviewing our forecast. Right now, it sure feels wrong. Franklin Templeton Fixed Income CIO Sonal Desai is of the mind that we are in a higher-for-longer yield regime. When Sonal talks, I listen. Have a game plan to use higher yields to your advantage. Current yield levels generally approximate the forward five-year annualized return stream. The risk/reward is improving with higher yields. We believe a dollar-cost-averaging approach makes sense.

Implied Treasury volatility is high. The ICE Bank of America MOVE Index is a proxy for fixed income volatility. When rate vol spikes, it can really spike. And when it does, the median MOVE reading back to 2020 is 140. The last trade was 95. So if history is any guide, interest-rate volatility could continue to push higher. It is unsettling to markets when one of the most liquid markets in the world gets violent.

Using data going back to 1994, our Senior Analyst Lukasz Labedzki tells us that when the Fed raises rates, US 10-year bond yields moved higher by 15 basis points a year out. US 2-year yields moved higher at the median by 80 basis points a year out and the 2-10s curve flattened by a median of 87 bps a year out. We are seeing history repeat, right now.

We expect short duration fixed income mandates and corporate credit to outperform cash again this year. Considering our views on US 10-year yields, we do not expect duration to be a significant driver of total return this year. Rather, all-in yield capture seems to be the play, although recent spread widening might create an opportunity for additional total return. Clipping coupons looks attractive.

Credit spreads remain well behaved in the face of higher yields. Investment-grade spreads, as proxied by the Bloomberg US Corporate 1-3 Year Option-Adjusted Spread (OAS), are now 45 bps over comparable Treasuries. Investment-grade spreads are still only a few basis points from five-year tights. High-yield spreads, as proxied by the Bloomberg US Corporate HY OAS, are now 274 bps over. These are both relatively tight levels from a historical perspective, reflecting a strong fundamental backdrop with corporate profitability being the main driver.

We are bullish on municipal bonds and find taxable-equivalent yields to be attractive, along with robust fundamentals. Importantly, municipal bonds can offer potential diversification benefits in the form of low correlations to various equity markets, relative to most taxable fixed income mandates. The market is on pace for another year of record supply; however, tight spreads in taxable bonds have helped the markets absorb these high supply levels.

Sentiment

The percentage of bullish investors in the latest AAI survey (the week ending September 23) is 33%, a low reading. The percentage of bearish investors in the AAI survey is 48%. The wall of worry is still in place.

Bull markets peak on euphoria. I don't think we are there yet.

We will continue to analyze the markets and offer insights again next week.

Source of data (except where noted) is Bloomberg and Franklin Templeton Institute, as of September 24, 2026. Important data provider notices and terms are available at www.franklintempletondatasources.com.

The Franklin Templeton Institute Global Investment Management Survey is a biannual outlook survey designed to give a view across our investment teams. The Franklin Templeton Institute identifies the median across the survey answers and develops the outlook. The survey received responses from around 200 portfolio managers, directors of research and chief investment officers, representing participation across equity, private equity, fixed income, private debt, real estate, digital assets, hedge funds and secondary private markets. Each of our investment teams is independent and has its own views.

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Glossary of Terms

The AAI (American Association of Individual Investors) Sentiment Survey: This survey offers insight into the opinions of individual investors by asking them their thoughts on where the market is heading in the next six months.

Breakeven rates:The difference between yields of Treasury bonds and TIPS for issues of the same tenor/maturity, calculated by subtracting TIPS yields from Treasuries; a measure of inflation.

Capital expenditure (capex):Funds that companies spend to acquire, upgrade or maintain physical assets, such as buildings, technology or equipment, with the purpose of maintaining or growing future operations.

Dollar cost averaging:An investment strategy wherein a fixed amount of money is invested at regular intervals, regardless of the market's price. Periodic investment plans do not ensure a profit and do not protect against investment loss in declining markets. Since dollar-cost averaging involves continuous investment in securities regardless of fluctuating price levels of such securities, an investor should consider his/her financial ability to continue purchasing through periods of low price levels.

Duration:A measure of how much a bond's price changes relative to changes in interest rates.

Earnings per share (EPS):The portion of a company's profit allocated to each outstanding share of common stock. An index EPS is an aggregation of the EPS of its component companies.

Fed funds (FF) rate:The interest rate that depository institutions such as banks charge other institutions for holding overnight reserves.

Option-adjusted spread (OAS):Measures the spread between a bond's interest rate and the risk-free rate, while adjusting for any embedded options like callable or mortgage-backed securities.

Tape:A reference to broad market performance, based on the ticker tape that transmitted stock prices during the 19th and 20th centuries.

Taxable-equivalent yield:The yield of a municipal bond investment calculated to reflect the benefits of income tax exemption and to be comparable to the yield of a taxable bond.

Yield spreads/tights:Spreads are the difference between yields on differing debt instruments of varying maturities, credit ratings, issuers or risk levels. "Tight" in reference to spreads indicates small differences in yields.

Indexes

Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges. Past performance is not an indicator of future results.

Bloomberg US Corporate High Yield Index:Tracks the performance of the USD-denominated, high-yield, fixed-rate corporate bond market.

Cboe Market Volatility Index (VIX):Measures market expectations of near-term volatility conveyed by S&P 500 stock index option prices. Often called the "fear gauge," lower readings suggest a perceived low-risk environment, while higher readings suggest a period of higher volatility.

Merrill Lynch Option Volatility (MOVE) Index:Measures the spread between a bond's interest rate and the risk-free rate, while adjusting for any embedded options like callables or mortgage-backed securities.

Purchasing Managers' Index (PMI):Produced monthly by the Institute for Supply Management, the Manufacturing PMI

tracks activity in the manufacturing sector. The Services PMI tracks activity in the services sector. The Composite PMI combines information from the Manufacturing and Services indices.

Russell 2000 Index: A market capitalization-weighted index that measures the performance of the 2,000 smallest companies in the Russell 3000 Index.

Russell 1000 Growth Index: An unmanaged index of those companies in the large-cap Russell 1000 Index chosen for their growth orientation.

Russell 1000 Value Index: A market capitalization-weighted index that measures the performance of Russell 1000 Index companies with relatively lower price-to-book ratios and lower forecasted growth rates.

MSCI EAFE Index: Captures large- and mid-cap representation across 21 developed markets countries around the world, excluding the United States and Canada.

MSCI Emerging Markets Index: Captures large- and mid-cap representation across emerging markets countries, covering approximately 85% of the free float-adjusted market capitalization in each country.

US Dollar Index: A basket of six foreign currencies (euro, Japanese yen, UK pound sterling, Canadian dollar, Swedish krona and Swiss franc) used to track the relative strength of the US dollar, with a higher index value representing US dollar strength.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

The allocation of assets among different strategies, asset classes and investments may not prove beneficial or produce desired results.

Diversification does not guarantee a profit or protect against a loss.

Equity securities are subject to price fluctuation and possible loss of principal.

Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls. Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets.

The investment style may become out of favor, which may have a negative impact on performance.

Large-capitalization companies may fall out of favor with investors based on market and economic conditions.

Small- and mid-cap stocks involve greater risks and volatility than large-cap stocks.

Any companies and/or case studies referenced herein are used solely for illustrative purposes; any investment may or may not be currently held by any portfolio advised by Franklin Templeton. The information provided is not a recommendation or individual investment advice for any particular security, strategy, or investment product and is not an indication of the trading intent of any Franklin Templeton managed portfolio.